

PROCUREMENT COMPLIANCE REPORT

City of Palm Springs

Cross-Jurisdictional Policy Analysis
Federal · State · City

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EXECUTIVE SUMMARY

This report presents the results of a cross-jurisdictional procurement policy analysis conducted for City of Palm Springs. Using an AI-assisted document analysis system, procurement rules were compared across federal (FAA/AIP and 2 CFR Part 200), state (California Uniform Public Construction Cost Accounting Act), and city (Palm Springs Municipal Code Chapter 7 and related policies) levels.

The analysis examined 10 procurement topic areas. Key findings include gaps in city policy regarding federal micro-purchase thresholds when AIP funds are involved, absence of organizational conflict-of-interest standards, and the applicability of Buy American requirements to airport procurement. No direct violations of federal law were identified in the current city procurement framework, however several areas warrant policy clarification to ensure compliance when federal funds are used.

Risk Level	Count	Description
HIGH	4	Requires immediate policy review or clarification
MEDIUM	4	Warrants attention — review recommended
LOW	2	Minor gaps or informational findings

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1. Bid Thresholds and Purchase Limits	HIGH
2. Sole Source Justification	HIGH
3. Emergency Procurement	HIGH
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5. Competitive Bidding Requirements	MEDIUM
6. Contract Award and Approval Authority	MEDIUM
7. Buy American Requirements	MEDIUM
8. Vendor Documentation Requirements	MEDIUM
9. Record Retention	LOW
10. Procurement Card Controls	LOW

DETAILED FINDINGS

1. Bid Thresholds and Purchase Limits

HIGH

Note: Federal micro-purchase limits apply when AIP funds are involved.

■ FEDERAL

The specific rules and thresholds regarding bid thresholds and purchase limits include the following:

1. **Simplified Acquisition Threshold:** This is set at \$150,000 as per 2 CFR § 200.88. This threshold was previously \$100,000 as referenced in 49 CFR § 18.36(d)(1).
2. **Micro-Purchase Limits:** For construction supplies and services, the limit is \$2,000, and for non-construction supplies and services, it is \$3,000 under the micro-purchase procurement method.
3. **Small Purchase Procedures:** These are applicable for procurements that do not exceed the Simplified Acquisition Threshold. Price or rate quotations must be obtained from an adequate number of qualified sources, which is considered to be two or more.

These thresholds and requirements are outlined in sections related to 2 CFR § 200.320(a) for micro-purchases and 2 CFR § 200.320(b) for small purchase procedures.

■ STATE

The rules and thresholds regarding bid thresholds and purchase limits are as follows:

1. Public projects of \$75,000 or less can be performed by the employees of a public agency by force account, negotiated contract, or purchase order (Section 22032(a)).
2. Public projects of \$220,000 or less may be let to contract by informal procedures (Section 22032(b)).
3. Public projects exceeding \$220,000 must be let to contract by formal bidding procedures, unless otherwise specified (Section 22032(c)).
4. If all bids received exceed \$220,000, the governing body may, by a four-fifths vote, award the contract at \$235,000 or less to the lowest responsible bidder if the cost estimate was reasonable (Section 22034(d)).

These thresholds and procedures ensure that public projects are managed efficiently and economically, adhering to the specified limits and guidelines.

■ CITY

The rules and thresholds for bid thresholds and purchase limits are as follows:

1. For purchases of \$15,000 or less, one quote or a negotiated contract is sufficient.
2. For purchases between \$15,000.01 and \$75,000, the Informal Process requiring three quotes is used.
3. For purchases over \$75,000, the Formal Solicitation Process is required.
4. Fleet vehicles can be procured using the three-quote process from local dealerships for any amount due to market difficulties in obtaining vehicles promptly.
5. Public Works Construction Services have specific thresholds: - \$75,000 or less: by Force Account or negotiated contract. - \$220,000 or less: by Informal public project Bidding Procedures. - Over \$220,000: by formal public project bidding procedures using the IFB or RFP process.

These rules are outlined in sections 7.03.03 and 7.03.04 of the municipal codes. Additionally, the City Council may revise these amounts through a resolution, as mentioned in section 7.03.01(g).

CONFLICT ANALYSIS

- 1. Direct Conflicts Between Levels:** There are no direct conflicts between the federal, state, and city levels regarding bid thresholds and purchase limits. Each level has its own set of rules that apply within its jurisdiction.
- 2. City or State Rules That May Violate Federal Requirements:** There are no indications that city or state rules violate federal requirements. Each jurisdiction level appears to operate within its own framework without overstepping federal guidelines.
- 3. Gaps Where a Lower Jurisdiction Is Silent on a Federal Requirement:** The city and state levels do not explicitly address the federal micro-purchase limits of \$2,000 for construction and \$3,000 for non-construction. However, this does not necessarily indicate a conflict, as these federal limits apply specifically to federal funding scenarios.
- 4. Which Rule Takes Precedence in Each Conflict:** In the absence of direct conflicts, there is no need to determine precedence. Generally, federal rules would take precedence in matters involving federal funding or requirements, while state and city rules apply to their respective jurisdictions unless federal funding is involved.

2. Sole Source Justification

HIGH

Note: Most common vector for procurement abuse.

■ FEDERAL

Sole source justification requirements are addressed under the procurement by noncompetitive proposals, as outlined in 2 CFR § 200.320(f). This type of procurement is allowed when certain conditions are met, such as when the item is available only from a single source, in cases of public exigency or emergency, when authorized by the Federal awarding agency, or when competition is deemed inadequate after solicitation. Additionally, if only one qualified source is available, the sponsor must follow sole source requirements. The adequate number of qualified sources is considered to be two or more for small purchase procedures, as mentioned in the guidelines.

■ STATE

The provided information does not include specific rules, thresholds, or requirements regarding 'sole source justification requirements.' Therefore, it is not possible to cite section numbers related to this topic based on the available context.

■ CITY

Sole source procurement is allowed when a contract can be awarded without competition after a good faith review of available sources determines there is only one source for the procurement. The Director must conduct negotiations regarding price, delivery, and terms, and maintain a written record as a public record. This record should include a sole source letter from the vendor or contractor and documentation from the Department Director explaining why sole source procurement was necessary and why only that product or service meets the department's requirements. Sole source purchases are justified when only one specific product or vendor meets the City's needs, and a sole source letter with current date from the vendor must be obtained, providing necessary information such as patent or copyright details. The Department must explain why only that vendor or product meets its needs. Sole source requests should be sent to the Procurement and Contracting Director in advance for approval to avoid delays in the requisition process. These requirements are outlined in Section 7.03.09(2).

CONFLICT ANALYSIS

1. **Direct Conflicts Between Levels:** There are no direct conflicts identified between the federal and city levels regarding sole source justification requirements. The federal guidelines allow for noncompetitive procurement under specific conditions, while the city guidelines require a sole source letter and documentation for justification. Both levels emphasize the necessity of documentation and justification for sole source procurement.
2. **City or State Rules That May Violate Federal Requirements:** There is no indication that the city rules violate federal requirements. The city rules align with the federal emphasis on documentation and justification for sole source procurement.
3. **Gaps Where a Lower Jurisdiction Is Silent on a Federal Requirement:** The state level is silent on sole source justification requirements, which could be a gap if state procurement is involved in federal awards. The city level addresses sole source procurement comprehensively, so there is no gap in relation to federal requirements.
4. **Which Rule Takes Precedence in Each Conflict:** In the absence of direct conflicts, there is no need to determine precedence. However, in general, federal requirements would take precedence in cases involving federal awards, ensuring compliance with federal standards.

3. Emergency Procurement

HIGH

Note: Poor planning does not qualify as an emergency per city code.

■ FEDERAL

Emergency procurement can be conducted through noncompetitive proposals, as outlined in 2 CFR § 200.320(f). This method is permissible when the public exigency or emergency for the requirement does not allow for the delay that would result from competitive solicitation. This is one of the specific circumstances under which procurement by noncompetitive proposals is allowed.

■ STATE

In cases of emergency, the governing body may proceed with repairs or replacements without adopting plans, specifications, or giving notice for bids. This can be done by day labor, contractor, or a combination of both. The governing body must make a finding based on substantial evidence that the emergency does not allow for delay due to competitive bidding and that immediate action is necessary. A four-fifths vote is required to delegate authority to certain officers to order emergency actions. The governing body must review the emergency action at its next meeting and continue to do so until the action is terminated, ensuring there is a need to continue the action by a four-fifths vote. If the governing body meets weekly, reviews can occur every 14 days. These rules are outlined in sections 22035 and 22050.

■ CITY

Emergency procurement is defined as a situation requiring immediate action due to a sudden, unexpected occurrence posing a clear and imminent danger. The City Manager can authorize emergency purchases, and an email explaining the emergency, proposed resolution, and estimated cost must be sent to the City Manager for approval. Emergency procurement should cover only the emergency and not include extra items or work that can be procured later. Poor planning does not qualify for emergency approval. During an emergency, procurement can occur without applying the usual provisions, but must be obtained at the lowest reasonable price in the City's best interests. For public projects, compliance with Public Contract Code section 22050 is required. If the City Manager determines immediate procurement is necessary for repair or replacement of a public facility, they may approve emergencies up to their signature authority, with larger emergencies requiring a four-fifths vote from the City Council. The City Council must terminate emergency procurement at the earliest possible date when conditions allow for normal procedures to resume. These rules are detailed in sections 7.03.09(4)(a)-(e).

CONFLICT ANALYSIS

1. Direct Conflicts Between Levels: - There are no direct conflicts between the federal, state, and city levels regarding emergency procurement. Each level outlines procedures that are consistent with the need for immediate action in emergencies, allowing for noncompetitive procurement when necessary.

2. City or State Rules That May Violate Federal Requirements: - There are no city or state rules identified that violate federal requirements. All levels allow for noncompetitive procurement in emergencies, which aligns with federal guidelines under 2 CFR § 200.320(f).

3. Gaps Where a Lower Jurisdiction Is Silent on a Federal Requirement: - The city and state levels do not explicitly mention the prohibition of geographical preferences in procurement, as required by federal regulations. However, this is not a direct conflict but rather an omission that could be addressed by ensuring compliance with federal standards.

4. Which Rule Takes Precedence in Each Conflict: - In the absence of direct conflicts, precedence is not an issue. However, generally, federal rules would take precedence over state and city rules if a conflict were to arise, especially when federal funding is involved.

4. Conflict of Interest

HIGH

Note: Organizational conflicts not addressed in city rules.

■ FEDERAL

The rules regarding 'conflict of interest' require non-Federal entities to maintain written standards of conduct covering conflicts of interest and governing the performance of employees involved in contract selection, award, and administration. Employees, officers, or agents must not participate in these processes if they have a real or apparent conflict of interest. Such conflicts arise when there is a financial or other interest in a firm considered for a contract by the employee, their immediate family, partner, or an organization employing them. The standards must also prohibit soliciting or accepting gratuities or favors from contractors, with exceptions for unsolicited items of nominal value. Disciplinary actions must be outlined for violations. Additionally, if the non-Federal entity has a parent, affiliate, or subsidiary that is not a state, local government, or Indian tribe, it must maintain standards for organizational conflicts of interest. These requirements are detailed in § 200.318(c).

■ STATE

The provided context does not include specific rules, thresholds, or requirements regarding 'conflict of interest' or any section numbers related to this topic.

■ CITY

The rules regarding 'conflict of interest' include several specific provisions:

1. Employee Conflict of Interest (7.05.01(1)): It is unethical for city employees or officials to participate in procurement if they or their immediate family have a financial interest in the contract, or if they are negotiating employment with a party involved in the contract. However, holding a financial interest in a disclosed blind trust does not constitute a conflict.

2. Contemporaneous Employment Prohibited (7.05.01(4)): City employees involved in procurement cannot be employed by a person contracting with the City.

3. Waivers (7.05.01(5)): The City Council can grant waivers from conflict of interest provisions if the employee's interest is disclosed, they can perform without bias, and the award is in the City's best interest.

4. Use of Confidential Information (7.05.01(6)): It is unethical for city employees or former employees to use confidential information for personal gain.

These rules are designed to ensure ethical conduct and prevent conflicts of interest in city contracting and procurement processes.

CONFLICT ANALYSIS

- 1. Direct Conflicts Between Levels:** There are no direct conflicts between the federal and city levels regarding conflict of interest rules. Both levels emphasize the importance of avoiding conflicts of interest in procurement processes, although they address different aspects and provide different levels of detail.
- 2. City or State Rules That May Violate Federal Requirements:** There are no city rules identified that violate federal requirements. The city rules align with federal standards by prohibiting conflicts of interest and ensuring ethical conduct in procurement.
- 3. Gaps Where a Lower Jurisdiction is Silent on a Federal Requirement:** The state level is silent on conflict of interest rules, which could be a gap if state entities are involved in federal procurement processes. The city level addresses conflict of interest comprehensively, but the absence of state-level rules could be a concern if state entities are expected to comply with federal standards.
- 4. Which Rule Takes Precedence in Each Conflict:** In the absence of direct conflicts, precedence is not an issue. However, if a conflict were to arise, federal rules would generally take precedence over state and city rules in matters involving federal awards or funding, as federal law typically supersedes state and local laws in such contexts.

5. Competitive Bidding Requirements

MEDIUM

Note: Verify city informal process aligns with federal competition standards.

■ FEDERAL

Competitive bidding requirements and procedures must ensure full and open competition. Specific rules include prohibiting contractors who develop specifications from bidding on those projects, avoiding unreasonable requirements or unnecessary experience, and not specifying only a "brand name" product unless an equal product is allowed. Geographic preferences are generally prohibited unless mandated by federal statutes. Written procedures must be in place to ensure solicitations are clear and do not unduly restrict competition. Sealed bids must be publicly advertised, and awards are made to the lowest responsive and responsible bidder. Noncompetitive proposals are allowed under specific circumstances, such as when an item is available only from a single source or in emergencies. These requirements are outlined in sections 2 CFR § 200.319 and 2 CFR § 200.320.

■ STATE

Competitive bidding requirements and procedures are outlined with specific rules and thresholds. Public projects of \$75,000 or less can be performed by public agency employees by force account, negotiated contract, or purchase order (Section 22032(a)). Projects of \$220,000 or less may be contracted through informal procedures (Section 22032(b)). Projects exceeding \$220,000 must follow formal bidding procedures unless otherwise specified (Section 22032(c)). If all bids exceed \$220,000, the governing body may, by a four-fifths vote, award the contract at \$235,000 or less to the lowest responsive bidder if the cost estimate was reasonable (Section 22034(d)). Additionally, it is unlawful to split projects to evade competitive bidding requirements (Section 22033). Notices for formal bids must be published at least 14 days before bid opening (Section 22037), and informal bid notices must be sent at least 10 days before bids are due (Section 22034).

■ CITY

The competitive bidding requirements and procedures are determined by the estimated cost of the project. For public works construction services, the procedures are as follows:

1. For projects up to \$75,000, procurement can be done by Force Account or negotiated contract as per Public Contract Code

section 22032(a).

2. For projects up to \$220,000, informal public project bidding procedures are used according to Public Contract Code section 22032(b).

3. For projects over \$220,000, formal public project bidding procedures are required, utilizing the Invitation for Bids (IFB) process for fully designed projects or the Request for Proposals (RFP) process for alternate delivery method projects like Construction Manager at Risk or Design-Build, as per Public Contract Code section 22032(c).

Additionally, the City may adopt pre-qualification procedures for individual public projects, which include using a standardized questionnaire and financial statement, applying a uniform system of rating contractors, and providing an appeal procedure for denied pre-qualification (Section 20101). The Director makes recommendations to the City Council based on these evaluations, and only pre-qualified contractors approved by the City Council can submit bids (Page 17 of 49).

CONFLICT ANALYSIS

1. Direct Conflicts Between Levels: - There are no direct conflicts between the federal, state, and city levels regarding competitive bidding requirements and procedures. Each level outlines its own procedures and thresholds without contradicting the others.

2. City or State Rules That May Violate Federal Requirements: - The city and state rules allow for geographic preferences under certain conditions, which could potentially conflict with federal rules that generally prohibit geographic preferences unless mandated by federal statutes. However, the city and state rules do not explicitly violate federal requirements as they allow for exceptions where federal statutes apply.

3. Gaps Where a Lower Jurisdiction Is Silent on a Federal Requirement: - The city and state levels do not explicitly address the federal requirement that contractors who develop specifications must be excluded from bidding on those projects. This is a specific federal requirement to ensure fair competition. - The federal requirement for written procedures to ensure solicitations are clear and do not unduly restrict competition is not explicitly mentioned at the city or state levels.

4. Which Rule Takes Precedence in Each Conflict: - In cases where federal funding is involved, federal rules take precedence over state and city rules. This includes the prohibition of geographic preferences unless federally mandated and the exclusion of contractors who develop specifications from bidding.

6. Contract Award and Approval Authority

MEDIUM

Note: Cross-check signing authority matrix against municipal code.

FEDERAL

The specific rules, thresholds, or requirements regarding 'contract award authority and signing authority' are not explicitly detailed in the provided information. However, the context does mention various procurement standards and requirements that sponsors must follow, such as notifying the ADO for contract modifications that change the scope or exceed certain thresholds, and ensuring compliance with federal regulations like 2 CFR §§ 200.317-200.326. For more precise details on contract award and signing authority, one would need to refer to the specific sections of the regulations or guidelines that address these topics directly.

STATE

The specific rules regarding contract award authority and signing authority include the delegation of authority to award informal contracts to certain officials such as the public works director, general manager, or purchasing agent. This is outlined in Section 22034(c). Additionally, if all bids received are in excess of \$220,000, the governing body of the public agency may, by a four-fifths vote, award the contract at \$235,000 or less to the lowest responsible bidder, provided the cost estimate was reasonable, as stated in Section 22034(d).

■ CITY

The contract award and signing authority are governed by specific rules and thresholds. The City Manager has the authority to approve purchase orders or enter into contracts for supplies and services up to \$150,000 and for construction up to \$220,000. The City Manager can delegate this authority to other city employees, but not beyond the limits set by the City Council (Section 7.05.08(1)(a)). Contracts exceeding these amounts require City Council approval unless the Council delegates authority to the City Manager (Section 7.05.08(1)(b)).

For contract amendments or purchase order changes, if the aggregated amounts exceed the signature authority, City Council approval is required (Section 7.06.01(2)(b)). The City Manager can approve amendments within the signature authority limit, but any amendment that causes the total to exceed this limit must be approved by the City Council (Section 7.06.01(2)(a)).

For public projects, the City Manager can approve change orders if the total does not exceed \$220,000, as identified by Public Contract Code section 22032(b). Change orders exceeding this amount require City Council approval (Section 7.06.02(2)(a) and (b)). In urgent situations, the City Manager can approve change orders exceeding their authority, subject to City Council ratification at the next meeting (Section 7.06.02(3)).

CONFLICT ANALYSIS

- 1. **Direct Conflicts Between Levels:** There are no explicit direct conflicts identified between the federal, state, and city levels regarding contract award authority and signing authority. Each level has its own set of rules and thresholds that do not appear to contradict one another directly.
- 2. **City or State Rules That May Violate Federal Requirements:** There is no indication that city or state rules violate federal requirements. The city and state rules seem to operate within their jurisdictional boundaries without conflicting with federal procurement standards.
- 3. **Gaps Where a Lower Jurisdiction Is Silent on a Federal Requirement:** The city and state levels do not explicitly address the federal requirement for notifying the ADO for contract modifications that change the scope or exceed certain thresholds. This could be a gap if such federal requirements apply to their contracts.
- 4. **Which Rule Takes Precedence in Each Conflict:** In the absence of direct conflicts, the issue of precedence does not arise. However, generally, federal requirements would take precedence over state and city rules if there were conflicts, especially when federal funding or compliance is involved.

7. Buy American Requirements

MEDIUM

Note: Federal AIP requirement — city documents may be silent.

■ FEDERAL

The 'Buy American requirements' are governed by several rules and thresholds. According to 49 U.S.C. § 50101, all steel and manufactured goods used on Airport Improvement Program (AIP) projects must be produced in the United States. The FAA can issue a waiver if certain conditions are met, such as if applying the provision is not in the public interest, if the goods are not available in sufficient quantity or quality in the U.S., or if the cost of U.S.-produced components is more than 60% of the total components and final assembly occurs in the U.S. Additionally, construction materials must be manufactured in the U.S., and the Buy American Preference requirements flow down to first-tier contractors, who must ensure compliance by lower-tier contractors and subcontractors. The requirements do not apply to temporary equipment used as a tool of trade.

■ STATE

The provided information does not include specific rules, thresholds, or requirements regarding 'Buy American requirements'. Therefore, no section numbers or details can be cited from the given context.

■ CITY

The provided information does not include specific rules, thresholds, or requirements regarding 'Buy American requirements.' Therefore, no section numbers or details can be cited from the given context.

CONFLICT ANALYSIS

1. Direct conflicts between levels: No direct conflicts between federal, state, and city levels are identified in the provided information, as the context only includes federal rules.

2. City or state rules that may violate federal requirements: The provided information does not include any city or state rules, so no violations of federal requirements by lower jurisdictions can be identified.

3. Gaps where a lower jurisdiction is silent on a federal requirement: The context does not provide any information on state or city rules, indicating a gap where these lower jurisdictions are silent on the federal 'Buy American requirements.'

4. Which rule takes precedence in each conflict: Since no conflicts are identified due to the absence of state and city rules in the provided information, there is no need to determine precedence. Federal rules would typically take precedence in the absence of conflicting state or city regulations.

8. Vendor Documentation Requirements

MEDIUM

Note: Includes non-discrimination certification and insurance.

■ FEDERAL

The specific rules, thresholds, or requirements regarding 'required vendor documentation and certifications' are not explicitly detailed in the provided information. However, the context mentions various procurement situations and requirements, such as the need for documentation in waiver applications and procurement reviews. For example, documentation is required for Type 2 and Type 3 waivers, which include a Content Percentage Worksheet and Final Assembly Questionnaire, among other records. These requirements are outlined in sections related to procurement and waiver documentation, such as those involving Buy American requirements and noncompetitive proposals. Specific section numbers for these requirements include 2 CFR § 200.320 and related paragraphs in the procurement guidelines.

■ STATE

The provided context does not include specific rules, thresholds, or requirements regarding "required vendor documentation and certifications." Therefore, no section numbers can be cited for this topic.

■ CITY

The specific rules, thresholds, or requirements regarding 'required vendor documentation and certifications' are not explicitly detailed in the provided context. However, vendors must comply with various labor compliance requirements, including prevailing wage requirements and the Public Works Contractor Registration Program. Additionally, vendors dealing with hazardous materials must provide Safety Data Sheets as per applicable regulations. For procurement processes, vendors may need to follow specific procedures outlined in the procurement and contracting guidelines, such as submitting proposals and meeting evaluation criteria. These requirements are generally governed by the procurement policies and labor compliance requirements mentioned in the documents.

CONFLICT ANALYSIS

1. **Direct Conflicts Between Levels:** There are no direct conflicts identified between the federal, state, and city levels regarding 'required vendor documentation and certifications' based on the provided context.
2. **City or State Rules That May Violate Federal Requirements:** The context does not provide specific city or state rules that violate federal requirements. However, it is noted that federal funding typically requires compliance with specific procurement methods and clauses, which may not align with local policies such as the Local Preference Ordinance. This could potentially lead to conflicts if local rules are not adjusted to meet federal standards when federal funds are involved.
3. **Gaps Where a Lower Jurisdiction Is Silent on a Federal Requirement:** The state level is silent on specific rules regarding 'required vendor documentation and certifications.' The city level mentions compliance with labor and safety regulations but does not detail specific documentation requirements that align with federal procurement standards.
4. **Which Rule Takes Precedence in Each Conflict:** In cases where federal funding is involved, federal rules take precedence over state and city rules. This includes adhering to federal procurement standards and documentation requirements, even if local policies differ. Compliance with federal requirements is mandatory to ensure eligibility for federal funding.

9. Record Retention

LOW

Note: Federal AIP requires 3 years from grant closure.

■ FEDERAL

The specific rules, thresholds, or requirements regarding record retention for procurement include maintaining records that document the rationale for the method of procurement, selection of contract type, contractor selection or rejection, and the basis for the contract price. These records are essential for ensuring compliance with procurement standards and must be retained as part of the procurement process. The relevant section that outlines these requirements is found in the general procurement standards, specifically under 2 CFR § 200.318.

■ STATE

The provided context does not include specific rules, thresholds, or requirements regarding 'record retention requirements for procurement.' Therefore, no section numbers can be cited for this topic.

■ CITY

The specific rules, thresholds, or requirements regarding 'record retention requirements for procurement' are not detailed in the provided information. However, it is mentioned that public access and record retention for procurement information are addressed in the general provisions section, specifically under section 7.01.03.

CONFLICT ANALYSIS

- 1. Direct Conflicts Between Levels:** No direct conflicts are identified between the federal, state, and city levels regarding record retention requirements for procurement, as the state and city levels do not provide specific rules in the provided context.
- 2. City or State Rules That May Violate Federal Requirements:** There are no city or state rules mentioned that would violate federal requirements, as the state and city levels do not specify record retention requirements in the provided context.
- 3. Gaps Where a Lower Jurisdiction Is Silent on a Federal Requirement:** Both the state and city levels are silent on the specific federal requirement for maintaining procurement records as outlined in 2 CFR § 200.318. This represents a gap where lower jurisdictions do not address the federal requirement.
- 4. Which Rule Takes Precedence in Each Conflict:** In the absence of specific state or city rules, federal requirements take precedence. Therefore, the federal rule regarding record retention for procurement as outlined in 2 CFR § 200.318 would be the guiding standard.

10. Procurement Card Controls

LOW

Note: P-Card policy vs. Municipal Code consistency.

■ FEDERAL

The specific rules, thresholds, or requirements regarding 'procurement card controls and prohibited uses' are not detailed in the provided information. The context does not include any section numbers or descriptions related to procurement card controls or prohibited uses.

■ STATE

The provided information does not include specific rules, thresholds, or requirements regarding 'procurement card controls and prohibited uses,' nor does it cite any section numbers related to this topic.

■ CITY

The procurement card controls and prohibited uses include several specific rules and thresholds. Each single purchase must comply with the city's procurement policy, and cardholders have a 30-day limit set by the Department Head with approval from the Procurement and Contracting Manager and Finance Director (Section 12.1). The card should be used in lieu of petty cash and for low-dollar supplies, but not to circumvent established contracts or spending limits (Section 12.2). Purchases must not be split to bypass transaction limits, and sufficient budget funds must be available before making purchases. The card cannot be used for personal expenses, services, rentals, or lease payments, and should not be used where there is a personal interest or conflict of interest (Sections 5 and 6.2). Misuse of the card, such as using it for personal expenses or splitting orders to circumvent limits, can result in disciplinary action, including termination (Section 6.2).

CONFLICT ANALYSIS

The provided information only includes details about procurement card controls and prohibited uses at the city level. There are no details or rules provided for federal or state levels, so it is not possible to identify direct conflicts between levels, city or state rules that may violate federal requirements, or gaps where a lower jurisdiction is silent on a federal requirement. Therefore, no conflicts exist based on the available information, and no rule precedence can be determined.

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